Diversification Curve

Falling risk as assets decorrelate

PROFESSIONAL DEFINITION

The Diversification Curve shows how portfolio risk falls as more imperfectly correlated assets are added, approaching but never eliminating undiversifiable systematic risk.

WHO DEVELOPED IT

Derived from Markowitz's portfolio theory and standard in investment textbooks.

WHY IT WAS DEVELOPED

It was developed to quantify the benefit and the limit of diversification, distinguishing diversifiable from systematic risk.

FIGURE 1 · DIVERSIFICATION CURVE

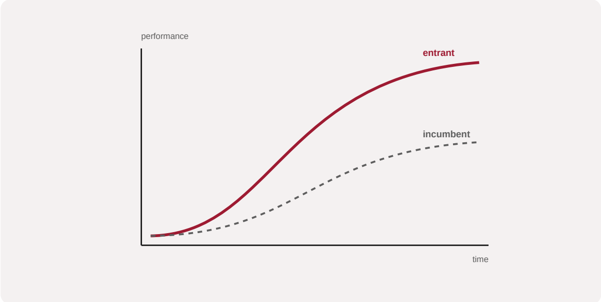

Figure 1. A schematic of the Diversification Curve as applied in BARBM312 (illustrative).

HOW IT IS USED

Risk is plotted against the number of holdings; the curve shows the diminishing benefit of adding assets and the irreducible systematic floor.

WHEN IT IS USED

When designing diversified portfolios.

BY WHOM IT IS USED

Portfolio managers and advisers.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It visualises both the power and the boundary of diversification, separating risk that can be diversified away from risk that cannot.

RELATED FRAMEWORKS IN THIS COURSE

- **Modern Portfolio Theory** · Slibrary 21
- **Risk-Return Spectrum** · Slibrary 21
- **Capital Asset Pricing Model** · Slibrary 21
- **Black-Litterman Model** · Slibrary 21

SOURCES (HARVARD REFERENCING STYLE)

Markowitz, H. (1952) 'Portfolio selection', The Journal of Finance, 7(1).

Statman, M. (1987) 'How many stocks make a diversified portfolio?', Journal of Financial and Quantitative Analysis, 22(3).